

Hans Raj Maurya And 2 Others v. State of U.P. And 4 Others

Allahabad High Court · Division Bench · 21 January 2021 · Writ - C No. 27665 of 2020 · **Writ petition disposed of without deciding merits; petitioners to file a fresh representation before respondent no. 2 within two weeks for a reasoned speaking order on final assessment after hearing, preferably within four weeks of receipt; no coercive action on the recovery citation dated 23.08.2020 for six weeks or until that decision, whichever is earlier; no benefit if the representation is not filed**

HEADNOTE

A licensee cannot recover a theft demand by treating a provisional assessment as final where there is no proof of service of that notice, no opportunity of hearing, and no copy of a final assessment order has been supplied. Applying *Shishir Jain*, the Division Bench held that the consumer cannot be compelled to deposit the provisional amount unless a final assessment is made after hearing. Treating the provisional amount as final without a hearing is *dehors* Section 126 of the Electricity Act, 2003 and Clause 8.1 of the U.P. Electricity Supply Code, 2005, and violates natural justice; Clause 8.1 requires inspection, provisional assessment, hearing and final assessment in theft cases. Licensee's counsel could not show service of the 29 July 2018 provisional notice. Without entering the merits, the Court directed a representation for a speaking final assessment after hearing and stayed coercive action on the 23 August 2020 recovery citation; it did not quash the citation.

FACTUAL SUMMARY

Hans Raj Maurya and two others, who held valid electricity connections and paid bills regularly, were inspected by the checking authority, which reported theft of electricity. An FIR was lodged against them on 14 September 2017 under Section 135 of the Electricity Act, 2003. They petitioned the Allahabad High Court to quash a demand notice dated 23 August 2020 issued under Section 3 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, for Rs. 53,329, and for a mandamus that the assessing officer pass a fresh order after complying with Section 126 of the Act and the Electricity Supply Code, 2005.

They said neither a provisional nor a final assessment notice had been served, and they first learned of the dues from that recovery citation. They invoked Section 126(3) and Clause 8.1 of the U.P. Electricity Supply Code, 2005. Counsel for the Power Corporation (respondent nos. 2, 3 and 4) said a provisional assessment notice had been issued on 29 July 2018, but there was nothing on record to show whether it was served.

HOLDING-UNITS

INTERPLAY · UP-2005::8.1

theft assessment — provisional figure cannot be treated as final without service, hearing, and a supplied final order

QUESTION

May a licensee recover a theft demand by treating a provisional assessment as final where service of that notice is not shown, no hearing was given, and a copy of a final order was not supplied?

HOLDING

No. Clause 8.1, read with Section 126, requires inspection, provisional assessment, hearing and a final assessment in theft cases. Licensee's counsel could not show that the 29.7.2018 provisional notice was served. Treating the provisional amount as the final assessment without a hearing, and compelling deposit without supplying a copy of that order, is *dehors* Section 126 and Clause 8.1 and violates natural justice. Applying *Shishir Jain* paragraph 16, the petitioners could not be compelled to deposit on the provisional figure. Without deciding merits, they were directed to file a representation before respondent no. 2 within two weeks for a reasoned speaking final assessment after hearing, preferably within four weeks of receipt. Coercive action on the 23.08.2020 citation is stayed for six weeks or until that decision, whichever is earlier; if they do not file the representation, they get no benefit of the order. ¶ 5, 7-10

QUALIFIER

The citation was not quashed. Petitioners invoked Section 126(3) and Clause 8.1; the Court's holding is framed as Section 126 and Clause 8.1. Relief (ii) asked respondent no. 3 (Assessing Officer) to pass a fresh order; the operative direction is a representation to respondent no. 2.

FLAG Unnumbered 21.1.2021 order; paras are sequential blocks after the cause-title (1 heard; 2 reliefs; 3 valid connections, inspection, FIR 14.09.2017 under s.135, no provisional or final assessment served, citation 23.08.2020 for Rs. 53,329 under s.3 of the 1958 Dues Recovery Act; 4 no hearing, s.126(3) and Clause 8.1; 5 licensee: provisional notice 29.07.2018, nothing on record as to service; 6 Shishir Jain para 16 quoted; 7 procedure dehors s.126 and Clause 8.1, Clause 8.1 described as the theft path, treating provisional as final without hearing violates natural justice; 8 representation directed without entering merits; 9 stay of the 23.08.2020 citation; 10 no benefit if representation not filed). FIR is under s.135; the Court applied s.126 with Clause 8.1. Catalog hits on Clauses 4.3 and 4.35–4.39 are false positives.

HOLDING-UNIT · EA2003::126

no compulsion to deposit a provisional Section 126 assessment until a final assessment after hearing

QUESTION

Can the consumer be compelled to deposit the amount of a provisional Section 126 assessment when service of that notice is not shown and no final assessment after hearing has been made?

HOLDING

No. Following Shishir Jain paragraph 16, without a final assessment after considering the objection and giving an opportunity of hearing, and without supplying a copy of that order, the petitioners cannot be compelled to deposit the provisional amount. The procedure adopted was held dehors Section 126. Recovery was not allowed to proceed as a concluded final assessment; it was stayed pending a speaking decision on a representation after hearing. ¶ 5-9

QUALIFIER

Petitioners invoked Section 126(3); the Court's own holding is framed as Section 126. The citation was not quashed.

PRINCIPLE TAGS

opportunity-before-final-assessment A provisional assessment notice dated 29.7.2018 was said to have been issued, but nothing on record showed service. The petitioners first learned of Rs. 53,329 from the 23.08.2020 recovery citation. The Court would not treat the provisional figure as final, or permit recovery on it, without an opportunity of hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 5, 7

clause-8.1b-personal-hearing-mandatory-before-final-assessment Clause 8.1 was applied as the theft path requiring inspection, provisional assessment, hearing and final assessment; treating the 29.7.2018 provisional figure as final without hearing was held to violate that procedure and natural justice. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 7

final-assessment-order-mandatory-under-section-126-3 Applying Shishir Jain paragraph 16, the Court held that without a final assessment after considering the objection and granting a hearing, and without supplying a copy of that order, the petitioners could not be compelled to deposit the provisional amount under Section 126. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 6-7

no-recovery-without-final-assessment-clause-8.1(b) The 23.08.2020 recovery citation under Section 3 of the 1958 Dues Recovery Act, issued without a served final assessment after hearing, was not allowed to operate as concluded recovery; coercive action was stayed pending a speaking order after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 7-9

126-vs-135-distinct-fields-but-126-still-applies-to-theft An FIR under Section 135 did not displace the Section 126 / Clause 8.1 assessment procedure; the Court still required a hearing and a final assessment before recovery of the theft demand. ¶ 3, 7

assessment-demand-notices-relegated-to-representation-without-merits Without entering the merits, the Court did not quash the 23.08.2020 citation. It directed a representation for a reasoned speaking order on final assessment after hearing. ¶ 8-10

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE THEFT ALLEGATION AND THE QUANTUM OF RS. 53,329

Expressly left undecided; a representation was directed for a reasoned speaking order after hearing. ¶ 8

NOT DECIDED — WHETHER THE PROVISIONAL ASSESSMENT NOTICE DATED 29.7.2018 WAS IN FACT SERVED

Licensee's counsel said it was issued but could not show service. The Court did not find service proved or disproved.

¶ 3, 5

NOT DECIDED — QUASHING OF THE DEMAND NOTICE DATED 23.08.2020 UNDER SECTION 3 OF THE U.P. GOVERNMENT ELECTRICAL UNDERTAKING (DUES RECOVERY) ACT, 1958

Sought as relief (i). The citation was not quashed; coercive action was stayed only for six weeks or until the representation is decided, whichever is earlier. ¶ 2, 8-9

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another</i> 2017 (3) AWC 3084 Allahabad High Court	If there is no final assessment, the consumer cannot be compelled to deposit the provisional assessment; without a final assessment after considering the objection and giving an opportunity of hearing, demand notices are not sustainable.		Court	Followed

SCJ-3230 · Hans Raj Maurya And 2 Others v. State of U.P. And 4 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.